

CROWN PAINTS KENYA PLC AND SUBSIDIARIES
AUDITED RESULTS FOR THE YEAR ENDED 31 DECEMBER 2022



SUMMARY CONSOLIDATED AND COMPANY STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2022

	GROUP		COMPANY	
	31 DEC 2022	31 DEC 2021	31 DEC 2022	31 DEC 2021
	KES (Mns)	KES (Mns)	KES (Mns)	KES (Mns)
ASSETS				
NON-CURRENT ASSETS	2,298	2,136	2,857	2,720
CURRENT ASSETS	6,907	5,672	5,621	4,664
TOTAL ASSETS	9,205	7,808	8,478	7,384
EQUITY AND LIABILITIES				
EQUITY				
Share capital	712	712	712	712
Reserves	2,978	2,718	2,963	3,006
TOTAL EQUITY	3,690	3,430	3,675	3,718
NON-CURRENT LIABILITIES	401	339	354	263
CURRENT LIABILITIES	5,114	4,039	4,449	3,403
TOTAL LIABILITIES	5,515	4,378	4,803	3,666
TOTAL EQUITY AND LIABILITIES	9,205	7,808	8,478	7,384

SUMMARY CONSOLIDATED AND COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2022

REVENUE FROM CONTRACTS WITH CUSTOMERS	11,389	10,733	10,158	9,656
PROFIT BEFORE TAX	1,073	1,124	771	1,055
TAX EXPENSE	(249)	(393)	(245)	(388)
PROFIT FOR THE YEAR	824	731	526	667
<i>Other comprehensive income to be reclassified to profit or loss in subsequent periods:</i>				
Exchange difference on translation of foreign operations	5	13	-	-
<i>Other comprehensive income not to be reclassified to profit or loss in subsequent periods:</i>				
Revaluation gain on property, plant and equipment, net of tax	-	109	-	27
TOTAL COMPREHENSIVE INCOME FOR THE YEAR, NET OF TAX	829	853	526	694
Basic and diluted earnings per share (Kes)	5.79	6.85	3.69	6.24
Weighted average number of shares outstanding	142	107	142	107
Number of shares issued	142	142	142	142

SUMMARY CONSOLIDATED AND COMPANY STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2022

Cash flows generated from operating activities	130	889	66	738
Income tax paid	(347)	(279)	(356)	(269)
Interest received	8	8	1	1
Interest paid	(182)	(149)	(158)	(132)
Net cash (used in) / generated from operating activities	(391)	469	(447)	338
Net cash used in investing activities	(261)	(333)	(225)	(289)
Net cash generated from financing activities	64	215	113	268
Net (decrease) / increase in cash and cash equivalents	(588)	351	(559)	317
Cash and cash equivalents at the beginning of the year	661	304	531	212
Effect of exchange rate changes on cash & cash equivalents	(2)	6	2	2
Cash and cash equivalents at the end of the year	71	661	(26)	531

Commentary on the results

The Board of Directors is pleased to announce the audited results for the year ended 31st December 2022. The same accounting policies and methods of computation have been used as were in the last financial statements.

Business commentary

The Group's turnover for the year ended 31 December 2022 grew by 6% (KShs 656 million) to KShs 11.4 billion in comparison with year 2021 which had a 17% (KShs 1.54 billion) increase to KShs 10.7 billion against the year 2020. The operating profit before tax, for year ended 31 December 2022 declined by 5% (KShs 51 million) to KShs 1.07 billion compared to the year ended 31 December 2021 where a 30% (KShs 262 million) growth to KShs 1.12 billion was attained against the year ended 31 December 2020.

In 2022, the drop in profitability is due to unfavourable foreign exchange rates, high cost of raw materials and the slow down in economic activities during the year. The global economy was characterized by fluctuating currency exchange rates and rising prices of essential raw materials, such as oil, which had a severe impact on businesses across various industries. Crown Paints was not spared and the high cost of raw materials led to an increase in production costs and hence a decrease in profit margins. The weakening of Kenyan Shilling against the US Dollar and other major world currencies made it more expensive to import raw materials, and this, in turn, impacted the cost of production. The Board is optimistic that the business of the Group will improve in 2023 as the world economies are improving.

DIVIDEND

The Board of Directors recommend payment of KShs 4.00 (2021: KShs 4.00) per share as final dividend for the year.

By Order of the Board
 Conrad Nyukuri,
 Company secretary
 26th April 2023